

(T. D. 2382.)

Income tax.

Providing certificate to disclose identity of ownership of stock where the stock is registered in a name other than that of the actual owner.

TREASURY DEPARTMENT,
OFFICE OF COMMISSIONER OF INTERNAL REVENUE,
Washington, D. C., October 19, 1916.

To collectors of internal revenue:

Dividends on stock of domestic corporations or resident alien corporations are held to be income to the record owner of the stock, and such record owner will be liable for income tax, normal or additional, according to his or its individual or corporate status, unless a proper certificate showing that actual ownership rests with another is filed.

When stock in a domestic or resident alien corporation whose net income is subject to the normal income tax is issued in the name of another than a nonresident alien corporation, the dividends on such stock will not be subject to the withholding of normal tax under the provisions of section 13 (f) of the act of September 8, 1916, except when the debtor corporation, or its withholding agent, has knowledge that the actual owner of the stock is a nonresident alien corporation subject to withholding.

When stock in a domestic or resident alien corporation is actually owned by a nonresident alien individual or nonresident alien corporation, and the stockholder of record is an individual, firm, or corporation acting as agent for the actual owner, such agent by executing and filing with the debtor corporation the certificate herein provided may secure relief from accounting for the dividends on such stock as his or its personal income, but where the agent is a citizen of, or resident in, the United States, he or it will be required to make return and pay tax for the nonresident alien individual owner when the amount of dividends received is sufficient to call for the additional tax provided by section 1 (b) of the act of September 8, 1916, and in all cases for the nonresident alien corporation for the purpose of the normal tax.

The debtor corporation will be governed as to withholding by the facts as to actual ownership disclosed by said certificates. All certificates filed with debtor corporations for the purpose of disclosing agency and the actual ownership of stock in domestic or resident corporations shall be forwarded by the debtor corporation, or its withholding agent, to the collector of internal revenue for its district, on or before the 20th day of the month next succeeding the month during which said certificates were received.

The term "corporations" as used above covers corporations, joint-stock companies or associations, and insurance companies. The term "nonresident alien corporations" covers all corporations, joint-stock companies or associations, and insurance companies organized, authorized, or existing under the laws of a foreign country and having no office or place of business in the United States; the term "resident alien corporations," such foreign organizations as have such an office or place of business.

Said certificate shall be printed on buff-colored paper corresponding in weight and texture to white writing paper 21 by 32, about 40 pounds to the ream of 500 sheets. The size of said certificate shall be 8 by 3½ inches, and shall be printed to read from left to right along the 8-inch dimension.

Individuals or organizations desiring to print their own certificates may do so, but certificates so printed must conform in size and be printed in similar type and upon the same color, shade, and weight of paper as used by the Government.

The certificate shall be in the following form:

Form 1087.	OWNERSHIP CERTIFICATE—DISCLOSING ACTUAL OWNER OF STOCK.
	(For use of registered owner—individual, firm, or organization, resident or nonresident alien—to disclose actual ownership of stock, when registered owner is not the actual owner and actual owner is a nonresident alien individual or a nonresident alien firm or organization.)
	 (Name of actual owner.) (Full post-office address of actual owner.)
	 (Name of issuing corporation.) (Address of issuing corporation.)
	Number shares stock owned Par value \$..... Amount of dividend
	I (we), the record owner of the above-described stock, hereby declare that the actual owner of said stock is correctly named and listed above; that said actual owner is a nonresident alien as to the United States; and that all the information given herein is true and correct.
	Date,, 19
	(Signature of registered owner, or, if organization, name.)
	By
	(If organization, signature of official authorized to sign and official position.)
	 (Full post-office address of registered owner.)

W. H. OSBORN,
Commissioner of Internal Revenue.

Approved:
WM. P. MALBURN,
Acting Secretary of the Treasury.